

MARGIN: borrowing from the brokerage firm to buy stocks or bonds; borrowing to buy the Brooklyn Bridge

LONG-TERM AVERAGE INVESTOR: patient fool; someone who should have sold a little sooner

SHORT-TERM AVERAGE INVESTOR: impatient fool; someone who should have held on a little longer

SELLING SHORT: selling borrowed stock or borrowed commodities, hoping to replace them at lower prices later; selling something you don't own—in the real world, a felony

STOCKBROKER: salesman for stocks, bonds, mutual funds, etc.; a person who will never go broke

FUTURES CONTRACT: a contract to buy something later at a price agreed upon today; an agreement in which one party sells huge quantities of something he doesn't own to another party who hopes it will never be delivered, and where one party ends up with all the money

CONSERVATIVE INVESTMENT: a gamble in drag

CONTRARIAN STRATEGY: investing in things that are currently unpopular, hoping for big profits later; going against the crowd at the same instant the rest of the crowd has decided to do the same

FINANCIAL SECURITY: perpetual care enjoyed by insurance companies, brokers, money managers, and others in the financial security industry

MONEY MANAGER: expert who manages your financial affairs; someone to whom you pay a large fee so you'll have less money to manage

CONSERVATIVE MONEY MANAGER: the money manager who charges the most for his or her services

PAPER PROFIT: unrealized gains; the kind of profit you'll occasionally make, spent several times over before it disappears

HOT STOCK: stock everybody is buying; what your brokerage firm calls any stock it wants to sell

MONEY SUPPLY M-1: a popular measure of the amount of money in circulation; number invented by the Federal Reserve system to be ignored

INFLATIONARY PERIOD: period when things are worth more than money, and you have more of the latter

DEFLATIONARY PERIOD: period when things are worth less than money, and you have more of the former

FORECASTER: expert who predicts the direction of the economy, interest rates, etc., that will affect the markets; paid guesser